

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$257.35 ▼ 0.45%	12M Price Target \$310.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.78T
-----	------------------	------------------------------	--------------------------------------	-----------------------

AMZN: Drifting While AWS-AI Story Quietly Builds

WHAT HAPPENED

- Quiet tape today — AMZN off 0.45% on light volume (12.8M vs usual 25-30M), which usually means nobody's fleeing, they're just not buying either. The Qualcomm share warrant news is interesting: QCOM effectively paid Amazon in equity to lock in a chip supply/customer relationship, which is a small but real signal that AMZN's AI chip roadmap (Trainium/Inferentia) has enough gravity that suppliers want to hitch their wagon.
- The pregnancy discrimination lawsuit is a headline risk, not a financial one — but it lands in a moment where the FTC and DOL are already scrutinizing Amazon's warehouse practices, so it feeds a narrative rather than moving numbers.

WHY IT MATTERS

The setup here is a stock sitting at 67% of its 52-week range with bullish options flow (put/call of 0.44 means traders are buying more than 2x as many upside bets as downside bets) but bearish insider action — that's a classic "smart money split" where executives are trimming into strength while the derivatives crowd positions for a Q3 earnings run. What it probably means: the market expects AWS growth to reaccelerate as enterprise AI budgets flip from "experiment" to "production," and Amazon is the default cloud for anyone who doesn't want to bet the farm on Microsoft or Google. The consumer discretionary sector is red today (-0.46%) but AMZN barely moved — that's a tell that the market is starting to price AMZN as a tech/AI name rather than a retailer, which is a multiple-expansion story if it sticks. Watch for: any leak on AWS Q3 run-rate, because that's the number that unlocks the next \$30 of upside.

POLICY & POLITICAL WATCH

The big overhang is the FTC antitrust case grinding through the courts — a structural remedy (forced separation of AWS or the marketplace) is the tail risk, but most legal watchers now expect behavioral remedies at worst, which the stock could actually rally on as uncertainty lifts. On the tailwind side, the federal government's ongoing AI procurement push (JWCC cloud contract expansions, DoD AI initiatives) directly benefits AWS GovCloud, and any continuation of the current administration's "American AI stack" posture is a moat for Amazon against Chinese hyperscalers. Tariff risk is real but manageable — Amazon has spent two years diversifying sourcing away from China, so a fresh tariff round hurts margins less than it would have in 2023.

IS IT EXPENSIVE?

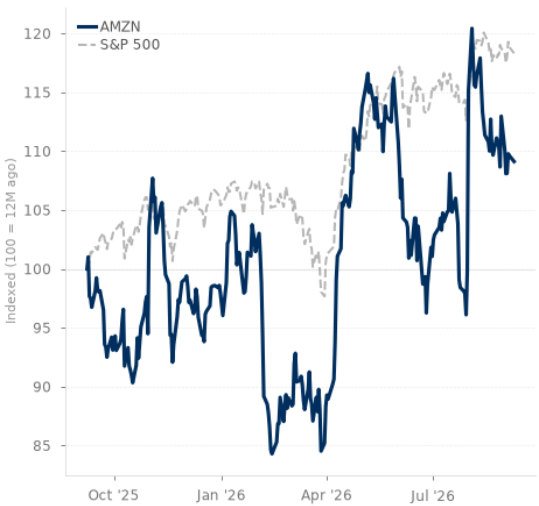
Key Data

Price (USD)	\$257.35
12M Price Target	\$310.00
Upside / (Downside)	+20.5%
Market Cap	\$2.78T
FY2026E Revenue	\$725M
FY2027E Revenue	\$805M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	37.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$262.00	\$245.00
6 Months	\$300.00	\$278.00	\$235.00
1 Year	\$335.00	\$310.00	\$225.00
2 Years	\$400.00	\$350.00	\$220.00
5 Years	\$550.00	\$425.00	\$200.00
10 Years	\$850.00	\$600.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+3% on 5D) and Energy — that's the "AI needs power" trade playing out, and it's actually bullish for AMZN because it validates the AI capex cycle they're leading. Tech quietly grinding higher (+0.79% 5D) with no drama is the healthiest kind of bull tape.

COOLING OFF: Consumer Discretionary down almost 2% on the week — this is where AMZN "lives" in index terms, and the fact that AMZN is outperforming its sector tells you the market has mentally reclassified it.

ROTATION WATCH: Money is rotating from consumer names into utilities/energy/tech, following the AI power thesis. AMZN sits at the intersection of tech (AWS) and consumer (retail), which is why it's not getting punished with its sector.

RELATED PLAY: If you believe the AWS/AI story, the picks-and-shovels play is the power and cooling infrastructure — Vertiv (VRT), Constellation Energy (CEG), and data center REITs like Equinix (EQIX) all benefit from Amazon spending \$100B+ on capacity.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): still the purest AI beneficiary, and every dollar AWS spends on GPUs is NVDA revenue — they're linked at the hip.
- MSFT (Microsoft): winning enterprise AI deals via OpenAI partnership, which is the direct competitive pressure on AWS but also validates the TAM.

AMZN CONTEXT: AMZN is a moderate laggard among mega-cap tech YTD — it hasn't gotten the pure "AI premium" that MSFT and NVDA got, which is actually the opportunity. If the market reprices AWS as an AI winner (not just a cloud utility), that gap closes and AMZN plays catch-up.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$245-252 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth decelerates below 15% or FTC wins structural remedy in antitrust case

Hedging: Small put spread on XLY or pair with short on a weaker retailer like TGT